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FEDERAL MARITIME COMMISSION

FILED

AUG 17 2016

Federal Maritime Commission
Office of the Secretary
Informal Docket

ADEBISI A. ADENARIWO *

Claimant, *

v. *

BDP INTERNATIONAL, ZIM
INTEGRATED SHIPPING, LTD. AND
ITS AGENT (LANSAL) ET AL. *

No. 1921(I)

Respondents *

* * * * *

BRIEF OF CLAIMANT ADENARIWO ON REMAND

I. Background

Claimant refers this Commission to its Decision issued on or about March 7, 2013 for a recounting of the history of this case. Since entry of the Settlement Officer's Decision and this Commission's Order which affirmed the Settlement Officer's Decision, Claimant has successfully petitioned the U.S. Court of Appeals for the District of Columbia Circuit Court. On about December 15, 2015, the Court ordered that the Commission's Decision be vacated and the case remanded for further proceedings.

II. The Commission's Order Sufficiently Determined Claimant's Damages.

Claimant submitted uncontested evidence of the damages he suffered as a result of Respondent's act. The Commission has held that a determination of damages "can be based on something less than precision but something based on reasonable approximation supported by evidence and reasonable inferences." *Kobel, et al. v. Hapag-Lloyd AG, et al.*, 33 S.R.R. 594, 605 (ALJ 2014).

The Settlement Officer determined that the “proximate cause of MacBride’s injury was Zim improperly ordering the container to be held: *charges accrued on the shipment* and MacBride was unable to obtain its goods. Due to Zim’s holding the shipment, *additional charges accumulated on the container* and the goods were ultimately auctioned by Nigerian customs authorities.” See Settlement Officer Decision dated March 7, 2013, at 12 (emphasis added). This finding was affirmed by the Commission’s Order Affirming Settlement Officer’s Decision. See Order dated February 20, 2014, at 3.

The Settlement Officer determined that the damages claimed by the Claimant included the cost of the equipment, lost profits, repeat transaction costs, and a capital charge. Claimant provided uncontested evidence of each of these damages. Claimant submitted a “Statement of Loss Macbride Nigeria Ltd”, which reflected cost of equipment for Container 2 in the amount of \$40,000 and freight/insurance costs of \$18,0000. Claimant’s “Claim Items Computation” statement reflected lost income in the amount of \$300,000, repeat transaction cost in the amount of \$12,731, and capital charge in the amount of \$60,020. No evidence was submitted to contradict or contest Claimant’s claimed damages.

The Settlement Officer awarded reparations to Claimant based on the “payment required at the time of the violation, taking into consideration the Complainant’s duty to mitigate damages and the Complainant’s actual knowledge of the imminent potential loss of goods.” See Order dated February 20, 2014, at 4. The U.S. Court of Appeals for the District of Columbia concluded, however, that “the settlement officer’s decision leads to absurd and unjust results. . . . The settlement officer and the Commission would have this

Court punish Adenariwo for not doing the very thing the law says he should not have to do." *See* Opinion, U.S. Court of Appeals, at 10-11. The Court of Appeals further concluded that "Zim had an equal, if not greater, opportunity to prevent the equipment in Container 2 from being auctioned off and it had the primary responsibility of doing so. It is also fair to assume that, as a vessel-operating common carrier, Zim knew the potential consequences of its refusal to release Container 2." *See* Opinion, U.S. Court of Appeals, at 12.

On remand, the Commission has been ordered to vacate its Order and enter an award "in favor of petitioner in the full amount of his unmitigated damages, together with such interest and costs as may be legally appropriate." *See* Opinion, U.S. Court of Appeals, at 12. The Commission does not require additional evidence or fact-finding to determine whether Claimant's damages have a sufficient factual basis, because the Commission has determined that Respondent Zim caused damages to Claimant by "improperly ordering the container to be held: charges accrued on the shipment, additional charges accumulated on the container and the goods were ultimately auctioned by Nigerian customs authorities." *See* Settlement Officer Decision dated March 7, 2013, at 12. The Commission affirmed this determination in its Order Affirming Settlement Officer's Decision. *See* Order dated February 20, 2014, at 3-4.

The amount of Claimant's damages exceeds that of the statutory limit, pursuant to 46 C.F.R. § 502.301; therefore, the Commission must enter an award in the amount of \$50,000 to Claimant. Claimant is entitled to receive an award of *at least* \$50,000 to reflect the damages he suffered as a result of Respondent Zim's acts.

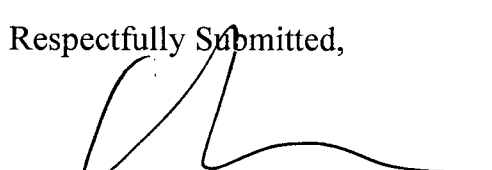
III. Claimant is Entitled to Interest on Reparations.

Claimant is entitled to interest on the Commission's award of reparations. Pursuant to 46 C.F.R. 502.253, interest granted on awards of reparations in complaint proceedings filed under the Shipping Act of 1984 "will accrue from the date of injury to the date specified in the Commission order awarding reparation." Further, the interest is compounded "from the date of injury to the date specified in the Commission order awarding reparation." *Id.*

The Commission initially awarded Claimant reparations in the amount of \$18,308.94 *plus interest*. *See* Settlement Officer Decision dated March 7, 2013, at 16. The Commission affirmed this determination in its Order Affirming Settlement Officer's Decision. *See* Order dated February 20, 2014, at 5. The U.S. Court of Appeals ordered that Claimant be awarded "the full amount of his unmitigated damages, together with such interest and costs as may be legally appropriate." *See* Opinion, U.S. Court of Appeals, at 12.

The Commission has been ordered, and the Claimant is so entitled, to award Claimant interest on the award of reparations, pursuant to 46 C.F.R. 502.253.

Respectfully Submitted,



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CERTIFICATE OF SERVICE

I HEREBY CERTIFY on this 16th day of August 2016, that one (1) copy of this Brief of Claimant Adenariwo on Remand were mailed first class postage prepaid to Wayne R. Rohde, Cozen O'Connor, 1200 Nineteenth Street, NW, Suite 300, Washington, D.C. 20036, Attorney for Respondent.



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